

The State of Pennsylvania Health Insurance: A May 2026 Awareness Briefing

Scope: Statewide Analysis of Rating Areas 1-9

Introduction

This briefing provides a factual overview of the current state of the Pennsylvania health insurance market. Following the expiration of federal enhanced subsidies at the end of 2025, the market has undergone a significant structural shift. This report is intended to inform the general public on the current trends in costs, enrollment, and provider access across the Commonwealth.

1. The Cost of the Market

In 2026, the Pennsylvania Insurance Department approved an average statewide rate increase of **21.5%**. However, the actual impact on individuals varies significantly based on income and geography.

- **The Subsidy Transition:** For residents who no longer qualify for federal tax credits, the net cost of insurance has increased by an average of **102%**.
- **Regional Hikes:** Rate increases ranged from a low of **11.6% (Geisinger)** to a high of **24.8% (UPMC)**, depending on the carrier and the specific Rating Area.

2. Enrollment Trends

The rise in costs has led to a noticeable contraction in the number of Pennsylvanians with active health insurance.

- **Statewide Loss:** Approximately **120,000 Pennsylvanians** who were insured in 2025 have transitioned out of the marketplace as of Q2 2026.
- **The Rural Impact:** The highest percentage of disenrollment occurred in the Northwest (Area 9) and North Central (Area 4) regions, where rural access challenges coincide with rising premiums.

3. The Shift to "Bronze" Coverage

To maintain any level of insurance, a significant portion of the population has moved into **Bronze-tier plans**.

- **Premium vs. Deductible:** These plans offer the lowest monthly premiums but often feature deductibles exceeding **\$9,000**.
- **Impact:** This trend has led to a rise in "underinsurance," where residents have a policy but face high out-of-pocket costs for routine or minor medical needs.

4. Regional Market Realities

- **Urban Regions (Areas 1 & 8):** Characterized by high competition between major systems (Independence, Highmark, UPMC) but featuring the highest "sticker prices" in the state.
- **The "Capital Corridor" (Area 6):** Center of the affordability debate, specifically in York and Harrisburg, where middle-income earners have seen the largest dollar-amount increases.
- **The Lehigh Valley (Area 3):** An anomaly in 2026, featuring the state's only major rate decrease from one carrier following a health system merger.
- **The Rural North (Areas 4 & 9):** Facing a "Access Crisis" where residents pay some of the highest proportional costs for a shrinking number of local in-network specialists.

5. Summary of Regulatory Environment

The 2026 market is operating under the **Act 2 of 2023** data security standards and is currently the subject of several legislative research reports regarding long-term affordability. State regulators continue to monitor "Network Adequacy" to ensure that as plans narrow their networks to save costs, residents still have reasonable access to care.

Data Compilation Notice: This information is derived from Pennsylvania Insurance Department public filings, CMS market data, and the 2026 Pennie Transparency Reports.